CSIS AUSTRALIA CHAIR

Australia Daily Brief

Tuesday, November 3, 2026

2,001 words · 8 min read

RE: RBA hikes to 4.85pc, 18-year high · Fiji military rejects coup immunity · NZ poll dead heat four days out · Chinese embassy disputes PNG wharf shell · Solomons moves on anti-defection law

ASX 200	AUD/USD	NZX 50	NZD/USD
8,887	0.6979	13,720	0.5626
+0.41%	-0.73%	+0.29%	-0.95%

IN THIS ISSUE Top Stories · Overnight · Stat · AUKUS · Pacific · New Zealand · China-Pacific · Canberra · Markets · Documents · Upcoming · The Wire

TODAY AT A GLANCE

1. The Reserve Bank raised its cash rate to 4.85 percent, a fifth increase this year and an 18-year high, with Jim Chalmers flagging budget cuts in response.
2. Fiji's military commander told a parliamentary committee the Republic of Fiji Military Forces opposes immunity for past coup-makers, as Sitiveni Rabuka delays the Constitution (Amendment) Bill's final reading.
3. New Zealand's National and Labour parties are level in a Reuters-reported poll four days before Saturday's general election.

TOP STORIES

TRADE-ECONOMY

RBA lifts cash rate to 4.85 percent, an 18-year high

The Reserve Bank raised its cash rate by 25 basis points to *4.85 percent*, the fifth rise this year and the highest level in eighteen years, with board members splitting six to three in favour. The bank said inflation expectations had become entrenched, that inflation would stay above 3 percent for the coming year, and that it would not return to the target band until late 2027. Governor **Michele Bullock** said the economy was not in recession but conceded it "sure feels like one". Treasurer **Jim Chalmers** flagged budget cuts to help bring inflation down.

per SMH: "Chalmers flags budget cuts to fight inflation as interest rates hit 4.85 per cent" · also WSJ: "Australia Central Bank Raises Interest Rates to Highest Level in 18 Years"

PACIFIC-POLITICS

Fiji military commander opposes coup immunity as constitution bill stalls

The Republic of Fiji Military Forces told a special parliamentary committee it opposes new immunity provisions for coup-makers in the government's Constitution (Amendment) Bill. Commander **Kalouniwai** said the RFMF did not appear with "clean hands" after the overthrows of 1987, 2000, and 2006, and described an "architecture of rebellion" resting on secrecy, governance through fear, misplaced loyalty, and constitutional immunity. Prime Minister **Sitiveni Rabuka**, who led the 1987 coup, told the committee the country relies on the military during "disruptions", and has delayed the bill's final reading.

per RNZ Pacific: "Fiji military chief urges accountability to the people amid coup immunity debate" · also ABC Pacific Beat: "Fiji PM delays final reading of Constitution Amendment Bill"

CHINA-PACIFIC

Chinese embassy disputes PNG police finding on Port Moresby wharf object

A Papua New Guinea police report, drawing on analysis from an X-ray machine donated by Australia, identifies a shell-shaped object found at a Port Moresby wharf as an undetonated artillery projectile. The Chinese embassy has suggested the item is a wine bottle. The finding follows the investigation into a suspected explosives shipment at the same wharf, last recorded in this brief on October 30.

per ABC News (Marian Faa): "Chinese embassy suggests military-grade explosive is actually a wine bottle"

AU-FOREIGN-POLICY

Albanese warns Commonwealth leaders on democracy, defends Caribbean trip

Anthony Albanese told the Commonwealth summit in Antigua that threats to democracy are growing, citing the alleged attack on independent MP **Helen Haines**, who had both legs amputated. He is due to meet UK counterpart **Andy Burnham** on rules for British backpackers on working holiday visas. With the Coalition arguing he should not be abroad during the rate decision, Albanese said the government was working "each and every day" to lift living standards, and told reporters "His Majesty invited me".

per SMH: "Albanese warns world leaders of growing threat to democracy after Haines attack" · also The Australian: "PM, King on Forrest climate ship jaunt at CHOGM"

OVERNIGHT

AU-POLITICS

High Court hears constitutional challenge to under-16 social media ban · NYT Asia Pacific

Reddit and an Australian digital advocacy group argued in the High Court that the law barring children under sixteen from popular platforms infringes constitutional rights, including freedom of political communication. The hearing is the first substantive legal test of the restriction, which Australia enacted ahead of comparable jurisdictions and which regulators elsewhere have watched closely.

AU-FOREIGN-POLICY

Russian ambassador's wife joins Canberra club, prompting walkout · Politico Canberra Playbook

Politico's Canberra Playbook reports that the Russian ambassador's wife has joined a Canberra club, prompting other members to walk out. The episode follows Australia's objection to Sergei Lavrov's presence at the G20 ministerial, carried in this brief on October 31, when ministers skipped the family photo.

AU-FOREIGN-POLICY

Two Australians confirmed dead in Spanish high-speed rail disaster · ABC News

Spanish authorities have identified two Australians among the 69 people killed when two high-speed trains collided around 130 kilometres south of Madrid, with 500 passengers aboard. The Department of Foreign Affairs and Trade is providing consular assistance to the families. DFAT said on October 31 it was working to confirm the pair's welfare.

TRADE-ECONOMY

Exporters eye China's interior provinces as beef tariffs bite · The Australian

With beef tariffs cutting into returns, Australian exporters and trade officials are looking to China's fast-growing interior provinces for the next round of market gains, The Australian reports. The shift would spread Australian agricultural exposure beyond the coastal cities that have absorbed most trade since the resumption of normal commerce.

TRADE-ECONOMY

Reserve Bank of New Zealand registers Revolut as 27th bank · Reuters

New Zealand's central bank has registered the European fintech Revolut as the country's 27th registered bank, Reuters reports. Registration allows it to take deposits in a retail market long dominated by four Australian-owned institutions, days before the general election at which banking competition has featured.

STAT OF THE DAY

$11 million

World Bank release for Marshall Islands El Nino response

The package funds the response to drought impacts and a dengue outbreak as El Nino conditions persist across the north Pacific.

Pacific Island Times

AUKUS WATCH

PILLAR 1 · THE AUSTRALIAN

Calls to renegotiate the AUKUS submarine pact as drone warfare surges

The Australian carries the argument that the spread of uncrewed systems has eroded the case for the AUKUS submarine program as structured, and that Canberra should seek to renegotiate. The piece follows this brief's October 30 item on Ghost Shark disclosure and the unresolved readiness question around autonomous undersea platforms.

PILLAR 1 · ISLANDS BUSINESS

Islands Business picks up Australia's defence base spending

Islands Business reports that Australia's spending on submarines, fighting vehicles, drones, and jets attracts attention while the billions going into defence bases draws far less. The item follows the Lowy Institute analysis of the $30 billion base build-out carried here on October 29.

PACIFIC WIRE

SOLOMON ISLANDS · RNZ PACIFIC

Solomon Islands moves to curb defections with constitutional reform package

Prime Minister **Matthew Wale**'s GREAT coalition is advancing a constitutional reform package built on six pillars, including anti-defection measures and limits on the use of motions of no confidence. The government cited unstable coalitions, recurring no-confidence motions, and short parliamentary terms. Wale is recovering in an Australian hospital after leaving Honiara last week for emergency treatment for an undisclosed condition.

TONGA · RNZ PACIFIC

New Zealand opens second Tongan detector dog facility in Vava'u

Customs Minister **Casey Costello** opened a locally built detector dog facility in Vava'u, Tonga's second, constructed with help from New Zealand Customs and Police. "We've recognised with organised crime that the Pacific is effectively our collective border," she said, citing the interception of *more than 14 tonnes* of cocaine in the Pacific earlier this year, bound for Australia and New Zealand.

MARSHALL ISLANDS · PACIFIC ISLAND TIMES

World Bank releases $11 million for Marshall Islands El Nino and dengue response

The World Bank Group has released *$11 million* to Majuro to support the Marshall Islands' response to El Nino impacts, including a dengue outbreak straining public health services. The drought conditions driving the package are the same ones Fiji's agriculture minister warned on November 1 could extend into mid-2027.

PAPUA NEW GUINEA · ISLANDS BUSINESS

Weapons in circulation raise questions over PNG's 2027 election security

Islands Business examines how the large number of weapons in community hands could shape Papua New Guinea's national election, due early in 2027. Election-related violence in the Highlands has repeatedly drawn in police and defence force deployments, with Australian assistance to PNG's electoral and security agencies a recurring feature of past polls.

TUVALU · ISLANDS BUSINESS

Tuvalu parliament replaces century-old public health law

Tuvalu's parliament has passed a new Public Health Act, replacing legislation more than a century old and strengthening the state's power to prevent and manage disease outbreaks. The measure lands as Pacific health systems contend with dengue and El Nino-driven water stress across the region.

GUAM · PACIFIC ISLAND TIMES

Guam votes for governor after a low-key campaign

Guam voters went to the polls for a general election headlined by the gubernatorial contest between the Democratic ticket of **Therese Terlaje** and **Sabina Perez** and the Republican ticket of **Tony Ada** and **Edward J. Calvo**. Former attorney general **Alicia Limtiaco**, a Democrat, is challenging Republican incumbent **James Moylan**.

REGIONAL · ISLANDS BUSINESS

Pacific states secure protected-areas breakthrough at CBD COP17

Pacific Island countries have won proposed recognition of indigenous and traditionally governed areas in biodiversity negotiations at CBD COP17, Islands Business reports. Recognition of customary tenure within protected-area targets has been a standing Pacific negotiating objective in multilateral environmental fora.

PAPUA NEW GUINEA · ABC PACIFIC BEAT

Indonesian bushfire smoke blankets Port Moresby for weeks

National Weather Service assistant director **Kasis Inape** said satellite monitoring shows *between 60 and 80 percent* of smoke from Indonesian bushfires is drifting into Papua New Guinea. "There's a lot of carbon monoxide and dangerous gasses which are harmful to health," he said. El Nino is delaying the wet season, raising the prospect the haze persists.

NEW ZEALAND

NZ-POLITICS · REUTERS

National and Labour level in poll days before New Zealand's election

A new poll puts National and Labour in a dead heat four days before Saturday's general election, Reuters reports. The result leaves government formation to the minor parties, with advance voting having opened on October 26 and running strongly.

NZ-POLITICS · RNZ PACIFIC

Second Pacific-led medical centre opens in the Wellington region

The Epuni Medical Centre, owned by Pacific Health Service Hutt Valley, opened on Monday as only the second Pacific-owned and led general practice in the Wellington region, after Porirua. Board chairperson **Au Liko** described it as the fruition of a 27-year effort begun by three Pasifika nurses and chief executive **Nanae Muau**.

CHINA IN THE PACIFIC

SOLOMON ISLANDS · PORT / INFRASTRUCTURE · ISLANDS BUSINESS

Chinese-built Santa Cruz airport handed over in Temotu Province

The upgraded Santa Cruz Airport runway and terminal in Temotu Province was handed over last Friday. ABC's Wantok programme reports the project was funded by the World Bank, built by China Harbour Engineering Company, and supervised by Egis, and is the largest project built in Temotu to date. Premier **Stanley Tehiahua** said the airport would support economic development and emergency services in a province far from Honiara.

CANBERRA POLITICS

AU-POLITICS · GUARDIAN AU POLITICS

First lobbyist sponsorship data shows MPs granting resources and gambling access

Labor and Coalition members are sponsoring permanent Parliament House access passes for the country's biggest resources companies and the lobby group representing online gambling giants, according to the first release under updated disclosure rules. The data was thin, with a backlog of *more than 1,000 applications* still unprocessed. The ABC reported the shadow health minister is sponsoring access for Responsible Wagering Australia boss Kai Cantwell, her former chief of staff.

AU-POLITICS · THE AUSTRALIAN

The Australian reports a $170 billion gap in Labor's forward spending

The Australian reports a *$170 billion* hole in the government's forward spending commitments, published hours before the Reserve Bank's fifth rate rise of the year. The paper's editorial ties the figure to questions about the Treasurer's handling of fiscal policy as the bank points to entrenched inflation expectations.

AU-POLITICS · ABC POLITICS NOW

Labor ministers manage expectations as economic narrative frays

Patricia Karvelas and **Raf Epstein** report that Labor figures as well as voters are asking "where is the vision, where is the hope" as ministers pre-managed expectations ahead of the rate decision. Victoria is about to enter caretaker mode with its election campaign under way.

AU-POLITICS · THE AUSTRALIAN

Hanson condemns alleged bat attack on One Nation volunteer in Victoria

Pauline Hanson called an alleged attack with a bat on a One Nation volunteer in Victoria "so wrong". The incident lands in the same week the Prime Minister used the Commonwealth summit to warn about violence against elected representatives following the alleged attack on Helen Haines.

BUSINESS AND ECONOMY

TRADE-ECONOMY · RNZ

Sharesies among eight Australian brokerages in Anthropic's retail offer

New Zealand-founded platform Sharesies is one of eight Australian brokerages able to participate in Anthropic's proposed Nasdaq listing. Anthropic said the retail component would extend to Australia, Canada, Japan, Switzerland, the United Kingdom, and nine European Economic Area states.

TRADE-ECONOMY · BLOOMBERG

Bloomberg opinion holds up New Zealand as a cautionary tale for the Fed

Bloomberg argues the Federal Reserve under Warsh should study New Zealand's monetary policy experience before changing course. The Reserve Bank of New Zealand pioneered inflation targeting, and its record is routinely cited in debates over central bank mandates.

PRIMARY DOCUMENTS

COMMUNIQUE · FBC NEWS

Pacific ministers reaffirm unity ahead of Palau meeting

Pacific ministers have reaffirmed regional unity ahead of a meeting in Palau, FBC News reports from the ministerial readout. Palau's President Surangel Whipps Jr took the Forum chair from Solomon Islands Prime Minister Jeremiah Manele at the 55th Leaders Meeting in Koror.

UPCOMING

NOV 3

United States midterm elections, all 435 House seats and 35 Senate seats

Control of Congress bears on authorisation and appropriation for AUKUS-related submarine industrial base measures.

NOV 7

New Zealand general election

A dead-heat poll four days out leaves defence and foreign policy continuity dependent on minor-party coalition arithmetic.

NOV
2026

Victoria enters caretaker mode ahead of its state election

Caretaker conventions suspend new state commitments, including on Treaty and major procurement, during the campaign.

THE WIRE

NZ-FOREIGN-POLICY

LOWY INTERPRETER

The power broker in New Zealand's election has no foreign policy

The Interpreter argues the party likely to hold the balance of power after Saturday's vote has no articulated foreign policy, leaving external settings to be negotiated after the fact.

AU-DEFENSE

LOWY INSTITUTE

Lowy: Chinese assertiveness and US uncertainty push India and Australia closer on defence

The Lowy Institute argues the combination of Chinese assertiveness and uncertainty about United States commitments is accelerating defence cooperation between New Delhi and Canberra.

ASPI STRATEGIST

Forward defence in depth: how to preserve Australia's strategy of denial

ASPI argues the strategy of denial set out in the National Defence Strategy requires the ADF to reduce an adversary's confidence that force or coercion can achieve its objectives, and that current force structure falls short.

ASPI STRATEGIST

Australia's defence investment must build the industry to sustain a fight

ASPI argues billions committed to capability, infrastructure, and preparedness are not yet producing the scalable industrial base, particularly in drones and Northern Territory sustainment, needed to sustain a conflict.

TRADE-ECONOMY

LOWY INTERPRETER

Australia barely owns a ship but moves the world's heaviest cargo and carbon

The Interpreter argues Australia's position as a bulk exporter gives Canberra leverage over shipping decarbonisation rules despite owning almost no vessels.

ASPI STRATEGIST

Australia's small business strategy must make employing and growing easier

ASPI argues economic resilience, domestic capability, and secure supply chains depend on a growing small-business sector that current national policy settings overlook.

AU-POLITICS

ABC NEWS

WA minister details misogynistic abuse that has not abated since Haines attack

Western Australian Women's Interests Minister **Simone McGurk**, first elected in 2013, said she had "never seen such hatred and vitriol" in politics and that abuse of her and her staff had not diminished since the alleged attack on Helen Haines.

PACIFIC-POLITICS

ABC PACIFIC

Pacific governments struggle to regulate the lucrative sea cucumber trade

ABC Pacific reports that governments across the region are failing to manage a high-value sea cucumber export trade, with enforcement and licensing capacity lagging demand from Asian markets.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

Washington, D.C.

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